



REPORT NO.: RES56668

RESTRUCTURING PAPER
ON A
PROPOSED PROJECT RESTRUCTURING
OF
DIGITAL ACCELERATION PROJECT
APPROVED ON NOVEMBER 30, 2021
TO
REPUBLIC OF RWANDA

DIGITAL DEVELOPMENT
EASTERN AND SOUTHERN AFRICA

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ABBREVIATIONS AND ACRONYMS

AIIB	Asian Infrastructure and Investment Bank
BRD	Development Bank of Rwanda
CRB	Credit Reference Bureau
DAF	Devices Access Fund
E&S	environmental and social
EMSM	Environmental and Social Management System
ESO	Ecosystem Support Services
FIF	Financial Intermediary Framework
FM	Financial Management
HEC	Higher Education Council
ID	Identification
MINEDUC	Ministry of Education
MIS	Management Information System
PIM	Project Implementation Manual
PIU	Project Implementation Unit
RISA	Rwanda Information Society Authority



BASIC DATA

Product Information

Project ID P173373	Financing Instrument Investment Project Financing
Environmental and Social Risk Classification (ESRC) Moderate	
Approval Date 30-Nov-2021	Current Closing Date 31-Dec-2026

Organizations

Borrower Republic of Rwanda	Responsible Agency
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Project Development Objective (PDO)

Original PDO

To increase access to broadband and selected digital public services, and strengthen the digital innovation ecosystem

Summary Status of Financing (US\$, Millions)

Ln/Cr/Tf	Approval	Signing	Effectiveness	Closing	Net Commitment	Disbursed	Undisbursed
COFN-C2100	30-Nov-2021	20-Apr-2022	20-Apr-2022	31-Dec-2026	100.00	5.48	89.39
IDA-70000	30-Nov-2021	07-Dec-2021	24-Mar-2022	31-Dec-2026	100.00	6.14	87.86

Policy Waiver(s)

Does this restructuring trigger the need for any policy waiver(s)?

No



I. PROJECT STATUS AND RATIONALE FOR RESTRUCTURING

A. Project status

- 1. The Digital Acceleration Project was approved in November 2021, became effective in March 2022 and is now 1 year and 8 months into implementation.** The project is co-financed by the Asian Infrastructure and Investment Bank (AIIB). The Rwanda Information Society Authority (RISA) is the main implementing agency, with the Development Bank of Rwanda (BRD) serving as the second IA administering only a sub-set of activities in its capacity as a financial intermediary. Currently, overall implementation progress and progress towards achievement of PDO are both rated as 'Moderately Satisfactory'. The IDA disbursement rate is US\$6.14 million (6.1%) but expected to double by December 2023 (withdrawal in progress) and reach upwards US\$25 million by the end of the FY24, based on the RISA Annual Work Plan and Budget. These projections currently do not cover activities due to be administered by the BRD (device access fund and early-stage financing facility for digital start-ups), as a disbursement condition remains in effect (more in this below), but where some results and disbursement could also materialize from January 2024 onwards – inter alia, if the present restructuring is approved, which would assign BRD a third activity linked to student loans for advanced digital degree programs. Focus to date has been on getting initial studies completed and launching subsequent downstream procurements, shifting towards larger contract implementation and accelerated achievement of results.
- 2. Implementation progress of Component 1 (Digital Access and Inclusion) is 'Moderately Satisfactory', pending the launch of connectivity investments and the devices access fund (DAF), which are now in the immediate pipeline.** Good progress is registered related to the Digital Ambassadors Program (sub-component 1.2), which is now operating at full capacity, yielding tangible basic digital literacy training results on the ground, and placing the project on track to meet the 3.5 million training target over the remaining project period. Most of the programmed technical assistance and equipment tenders geared towards improving telecoms regulation are also under procurement (sub-component 1.4), which is set to enhance competition among operators and lower investment costs. The design of the DAF (sub-component 1.1) is being finalized and likely to be launched in the next 2-3 months, expanding access to broadband-compatible smart devices – a major barrier to access. Following the completion of technical studies, large-scale connectivity investment tenders (sub-component 1.3) are also being finalised and due to be launched in the next 1-2 month, which will connect and upgrade the connectivity of over 3,750 government offices, health centres, secondary schools, and universities, building on existing pilots launched, contributing to a boost in disbursement and placing the project on track to meet linked connectivity targets.
- 3. Implementation of Component 2 (Digital Public Service Delivery) is 'Satisfactory', in view of considerable progress made on digital identification (ID) and e-services, alongside acceleration of cybersecurity and data protection activities.** The disbursement condition linked to ID system investments was lifted in July 2023, on the back of the new ID law promulgated in June 2023. Procurement packages related to ID (sub-component 2.1) that are now underway puts the project on track to meet Government's ambitious timeline for system roll-out, which should allow the project to register ID enrolment results from August 2024 onwards, when the upgraded ID system goes live. Slower progress has been recorded in respect to data management/sharing activities (sub-component 2.2), where technical assistance to support the design of the centralised Government Data Hub is now underway. However, considerable progress has been made on e-services (sub-component 2.3), where Government is pushing to meet ambitious public service digitalization targets. A series of contracts have been launched to upgrade the Irembo platform, e-health, and e-business systems. etc., which RISA expects will yield more than 100+ new e-services – exceeding the PDO target. E-services and ID systems contracts under procurement are also expected to boost disbursement between Q3-Q4 of



FY24. Finally, procurement has also been launched for several cybersecurity and data protection activities (sub-component 2.4), including training programs, risk assessments, and audits.

4. **Components 3 (Digital Innovation and Entrepreneurship) is ‘Moderately Satisfactory’, given delays in launching support services for digital start-ups and advanced digital skills training, inter alia pending the present restructuring.** A concerted push is being made to accelerate activities geared towards supporting innovation (sub-component 3.1), where delays have been encountered in launching the early-stage financing facility (due to be implemented by BRD) and innovation ecosystem support services (ESO), which would allow the project to register results in relation to supporting start-ups. The design of the former is being finalized and RISA is now ready to launch a pilot for the ESO support program, on a performance-based grants basis. While financing has helped double the intake of the Rwanda Coding Academy, launch of other advanced digital skills training (sub-component 3.2) has been delayed due to internal deliberations on how to expand the Phd Scholarship scheme initially programmed and now subject to a restructuring (detailed in section B and C).
5. **Component 4 (Project Management and Institutional Coordination) performance is ‘Satisfactory’,** with pending Project Implementation Unit (PIU) recruitment now complete at both RISA and BRD. Government is also currently in full compliance with legal obligations under the project, with no overdue Interim unaudited Financial Report or other reporting.

B. Rational for restructuring

6. An official request letter to restructure sub-component 3.2 (Next generation capabilities for the digital economy) was received from the Ministry of Finance on 28 September, 2023. Based on this request, changes are being proposed, on the following basis:
7. **Changes to sub-component cost and activities.** A revision to programmed activities and reallocation of funds within sub-component 3.2 is proposed. Initially, a scholarship scheme for Phd students in highly specialized digital fields was envisioned (to be administered by RISA). However, now a switch from scholarships (grants) to loans is proposed, through support for the existing Government of Rwanda (GoR) Student Loan Fund (described in paragraph 13) administered by the BRD. This shift will contribute to greater long-term sustainability, as gradual loan repayments after study completion can support continued student financing beyond project closing. Moreover, the GoR is keen to expand the number of eligible beneficiaries (beyond Phd students), allowing master’s and bachelor’s students to also apply for loan financing for specialized digital training programs. Stakeholder consultations revealed that the pool of eligible beneficiaries for PhD studies in Rwanda is still small and that there is a need to expand the loans scheme to create a larger student pipeline, where access to financing is a key barrier to higher education programs.¹ To expand the pool of students admitted to advanced digital skills training programs there is also a need for coaching and support services that can help students navigate the admissions process and secure work placements (via technical assistance

¹ The duration of PhD-degree programs (upwards 4 years) also makes it challenging to register tangible project results in relation to completed studies and subsequent employment (which is an intermediate results indicator) before the project closing date. Expanding the number of students with bachelor’s and master’s degrees can help create a pipeline for PhDs. However, at present, there is a limited pool of graduates applying for degrees in the digital field due to the high costs of related studies, and there is limited government funding available within the existing Student Loan Fund to actively boost student financing for degrees in this area. The earmarked student loans funds for eligible digital degree programs would help bridge this gap.



to be hired by RISA).² Adding this new activity and expanding student financing (loans) requires a reallocation of financing under the sub-component.³

8. **Change in institutional arrangements, as well as linked FM and disbursement arrangement for student loan administration.** Responsibility for managing student loans payments/repayments will shift to the BRD, supported by the Higher Education Council (HEC), with RISA maintaining a role only in the selection process. The proposed change (described further in paragraph 13) will better align the project's institutional arrangements with existing country systems: The 'Law No. 44/2015 of 14/09/2015 governing student loans and bursaries' and recent 'Ministerial Order No. 001/MINEDUC/2023 of 04/01/2023 determining benefits for learners, study loans, and their management', both explicitly state that the management of loan disbursement and collection matters shall be entrusted to the financial institution designated for this purpose by the GoR, which shall be the BRD. RISA is ill-equipped to play this role, given its mandate and core business, whereas BRD is mandated to manage student loan payments and repayments and has experience doing so based on the existing Student Loan Fund established. As stated in 'Presidential Order N° 081/01 of 28/08/2020 establishing HEC', HEC is entrusted with the responsibility to coordinate all activities related to study loans and bursaries to students of institutions of higher learning.
9. **Reallocation between Disbursement Categories and changes to disbursement conditions.** BRD activities (now covered by category 2) under the financing agreement are still subject to a disbursement condition, requiring the (i) establishment of a dedicated PIU for the project at BRD; (ii) appointment and/or recruitment (as appropriate) of a coordinator, a procurement specialist, a financial management (FM) specialist, and two environmental and social specialists; (iii) preparation/adoption of a BRD Project Implementation Manual (PIM) covering its activities – i.e. the DAF (sub-component 1.1) and early-stage financing (EF) facility for digital-enabled innovative start-ups (part of sub-component 3.1) – in accordance with the Bank's Financial Intermediary Framework (FIF); and (iv) compliance with environmental and social (E&S) commitments under ESS 9 (Financial Intermediaries), requiring the BRD to have an Environmental and Social Management System (ESMS). BRD has met most of these requirements but is yet to finalize the PIM chapters describing the DAF and EF facilities; a PIU has been established and relevant staff recruited; since project approval, a new ESMS has also been adopted, which is deemed adequate for the proposed restructuring though needs to be slightly amended to accommodate the other digital activities planned (see paragraph 12); and a PIM has also been prepared for the purpose of the proposed restructuring, covering only students loans (more on this below). A new category 5 is thus proposed to not slow down the implementation of the proposed student loans scheme, while the design of other financing instruments (DAF and EF) is being finalized and can be documented fully in the PIM. Key requirements already met will shift to this new category to respect the intention of the original condition attached to BRD financing (see paragraph 13). Funding will be reallocated to category 5 from category 1(a), originally administered by RISA, to accommodate proposed change to implementing arrangement.

II. DESCRIPTION OF PROPOSED CHANGES

10. **Changes to sub-component costs and activities.** PhD Scholarships are being replaced with student loans for highly specialized digital training in higher education (incl. Bachelor's, Master's and Phd degrees/diplomas), complemented by support and coaching services for students applying for specialized digital training domestically and abroad. There is no change in overall component cost, as reallocations are proposed within the same sub-component (3.2 Next

² Consultations revealed that Rwandan students are often ill-equipped to navigate the admissions process for related programs that can be complex, leading to lower enrollment rates for Rwandan students.

³ Funding for advanced digital skills bootcamps will be reduced slightly to accommodate proposed changes.



generation capabilities for digital economy). No changes are thus anticipated to indicators, as proposed changes contribute to the same target: “Graduates from specialized digital skills training employed or in education within 12 months after completion (Percentage) – of which female”. Expanding student loans will allow more students to access specialized digital skills training and student coaching services is expected to provide additional support to place students in programs where there is high market demand for related skills and support the school-to-work transition post-completion, ensuring that the project reaches targets established for employment post-graduation (75 percent).

11. Change in institutional arrangements, as well as linked FM and disbursement arrangement for student loan administration. As noted above, based on proposed changes, BRD will administer student loans for specialized digital training, whereas RISA will be charged with procuring new student support and coaching services. The overall administration of the student loans activity will be guided by existing GoR systems in place and a tripartite inter-agency agreement between BRD, HEC and RISA (grounded in national legislation), establishing a dedicated scheme for digital degrees as part of the existing Student Loans Fund. Based on the existing GoR institutional set-up, BRD manages the Student Loan Fund on behalf of HEC. HEC is and will be responsible for managing the call for student loan applications through its channels and leading on the selection of loan beneficiaries (in this case with the support of RISA), as well as the verification of ongoing/completed studies by students, subsequently sharing related information with both RISA and BRD via an integrated management information system (MIS), which forms the basis for BRD’s loan payments and re-payments processing. Given the objective of loans provided, RISA will support HEC to determine degrees eligible and selecting loan beneficiaries under the scheme. Selection criteria and roles and responsibilities of all parties are described both in the tripartite inter-agency agreement and the revised RISA and BRD PIMs.

- (a) **FM and disbursement arrangements:** Administration of the student loans facility from an FM and disbursement perspective would thus move from RISA to BRD, where BRD is charged with loans disbursements (i.e., payments to students), withdrawing funds from the World Bank/AIIB, as well as administering student loan recovery. Detailed information on funds flow and repayment requirements/procedures have been documented in the BRD PIM prepared. BRD will be responsible for all FM matters related to this activity, including reporting to the Bank. HEC is not expected to directly manage any project funds related to student loans, nor is RISA. BRD will sign student loans agreement with students selected.
- (b) **Assessment of FM capacity:** The BRD is deemed to have the capacity to take on the fiduciary role proposed in relation to student loans under the project, as it is already administers the GoR Students Loan Fund, which has also benefitted from World Bank-financing under the Rwanda Priority Skills for Growth (P252350) Program-for-Results project and its additional financing, which has sought to strengthen BRD’s student loans administration capacity. Proposed FM arrangements have been reviewed by the Bank’s FM team and deemed acceptable. However, while recent improvements have been recorded in loan recovery, reaching 31.5% by September 2023, based on reporting under the P172735, BRD audits suggest there is still a need to enhance the student tracking system, both for students enrolled and graduates, to improve monitoring and repayment performance. Further critical improvements to this system are expected by the end of Q1 2024 (more on this below – paragraph 15). The BRD will complete planned system updates based on this timeline (new legal covenant – see paragraph 14), reporting updates as part of semester project reporting submitted to the World Bank.
- (c) **M&E:** BRD will also be responsible for monitoring and reporting results to the Bank in relation to student loans, as they pertain to the relevant project results indicator noted above (paragraph 10).
- (d) **Procurement:** BRD is not expected to engage in any procurement in relation to this new activity. As noted above, RISA will procure student support services.

12. Environmental and social (E&S) analysis. The proposed restructuring is not expected to change the E&S risks. ESS 9 (Financial Intermediaries) would apply to the restructuring, in relation to BRD. However, the ESMS adopted since project approval is deemed adequate to support the student loans activity proposed, as it already covers the education



sector. Both the RISA and BRD PIMs have been updated to reflect how the grievance redress will be handled with respect to student loans.

13. **Change in disbursement arrangements and reallocation between disbursement categories, including related conditions.** A new disbursements category 5 in the amount of US\$3.5 million (split 50:50 between the IDA and AIIB) will be created, covering student loan financing administered by BRD, with funds reallocated from category 1(a). Disbursement of financing under category 5 would be subject to the BRD submitting evidence available of (i) the formal establishment of the project PIU, (ii) recruitment of PIU staff, and (iii) adoption the BRD PIM covering student loans, which has been prepared; and (iv) signature of the activity-specific tripartite inter-agency agreement between BRD, HEC and RISA, detailing the establishment and administration of student loans for digital degree programs via the existing Student Loans Fund (Student Loan Administration Agreement). Category 2 will remain subject to adoption of an updated BRD PIM, which also covers the DAF and EF activities, and an updated ESMS which explicitly includes the digital sector. Under this category, eligible expenditure will be ‘capitalization of the Student Loans Fund’ for the provision of student loans for highly specialized digital training in higher education and BRD loans administration fees (i.e., ‘operational costs’), where withdrawal can be made by the BRD in tranches based on committed funds under the facility, in turn based on signed student loan agreements.
14. **Legal Covenant.** A dated covenant has been added to ensure that the BRD improves its digital tracking system for student loan beneficiaries, in a manner satisfactory to the Association by March 31, 2024 (or later time as agreed with the Association), as advised by the recent BRD audit.
15. **Financial Intermediary Framework (FIF) assessment.** Given the ‘credit’ component associated with the proposed student loan facility for digital degrees, the World Bank’s FIF policy applies to the restructuring. The Bank has updated its assessment of the BRD, specifically the Student Loan Fund, reviewing compliance of the proposed scheme and the intermediary against related policy requirements, particularly with regards to (i) relevant governance and risk management, (ii) operational capacity of the intermediary, and (iii) product design and market distortion potential, as well as sustainability. Overall, although the approach raises concerns regarding its efficiency and sustainability, the Project Team still deems it acceptable within the Bank’s policy framework given its projected size, negligible market distortionary impact in the absence of competitive commercial offer for this specific activity and the relative strength of the governance and control arrangements in place:
 - (a) **Governance and risk management.** As noted above, the student loans facility will be implemented by the BRD, on behalf of HEC (under the Ministry of Education, MINEDU), through the Student Loan Fund, acting as the financial intermediary for the administration of the loans, particularly the formalization of loan agreements, disbursements of funds and fund recovery processes. However, based on the existing structure, loan origination and credit risks will remain with HEC. Operationally, the loans facility for digital degrees will be embedded in the existing Student Loan Fund. The ‘Fund’ is not established as a legal entity, but rather as a fiduciary account, managed by the BRD on behalf of HEC, for the purpose of administering the GoR’s student loan operations. The ‘Fund’s’ establishment and administration is governed by the Ministerial Order and existing agreements between HEC (MINEDU) and BRD, dating to October 2015. The ‘Fund’ is an ‘off-balance sheet’ item for the BRD and thus does not form part of its assets and liabilities structure. As such, its operations do not impact BRD’s credit risks position, overall risk assets or capital adequacy ratio. BRD does not receive interest proceeds from the loans granted, nor does it incur interest expenses on the funds used. BRD’s operational costs of fund management are covered through income from liquid assets’ placements and any shortfall is compensated for by the GoR. Moreover, BRD receives commission payments equivalent to 4% of any recovery amount of student loans. HEC, as a legally autonomous entity subordinated to the MINEDU, and BRD, as a regulated financial institution, fully owned by the GoR, have appropriate governance and organizational structures, in line with World Bank policy requirements. BRD has established independent risk



management, control and compliance structures, which cover the Fund, and the team has reviewed the institution's latest external audit report, which was issued with an unqualified opinion. The 'Fund' is subject to annual independent external audit reviews. The team has reviewed the audit reports 2020-2022, issued by KPMG and Ernest & Young, respectively, which provide unqualified opinions. However, the audit reports do note challenges particularly with regards to the 'legacy portfolio' of the Fund, i.e., student loans granted by Rwanda Education Board prior to 2016, noting shortcomings in formalization, documentation, and identification of borrowers. As of the end of 2022, the corresponding portfolio amounts to approximately US\$53 million, compared to US\$252 million in the non-legacy portfolio (i.e., Student Loans issued between 2016 – 2022).

- (b) **Product design.** As student financing is not and has not been offered by commercial banks in the past, the scheme, with its very narrow focus on supporting degrees in the digital field and limited funding volume, is not expected to lead to market distortions, and neither will it provide any significant signaling effect to the private commercial banks or contribute to financial deepening. As such, product design and loan origination procedures under the scheme, and more broadly the Student Loan Fund, is limited in its financial market orientation and subrogated to the objectives of supporting access to higher education, while leaving prospective students with 'skin in the game' through the manifest obligation to repay the funding. Borrower eligibility and loan origination is based on the identified eligible degree programs as well as academic selection criteria, such as grade-point averages and coursework. No additional credit risk assessments are undertaken in the selection of borrowers. Loan terms are enshrined in the Ministerial Order No. 001/MINEDUC/2023 of 04/01/2023, with a one-time 'flat' interest charge of 10%-11%, depending on the study course, applied over the loan amount and loan terms extending up to 10 years, depending on the granted amount. Repayment terms are designed as a percentage of income, once the student is employed, following successful completion of the degree programs, featuring a two-year grace period between the conclusion of studies and the expected initiation of repayments (if employed). The expected minimum repayment rate is fixed at 8% of gross income.
- (c) **Operational capacity.** The Student Loan Fund is managed by a specialized unit with BRD, which is embedded in the BRD's overall management, control and oversight structure. The head of this unit forms part of the institution's senior management team. The Fund has fully assigned staff attending to front-office functions, including the formalization, disbursements, and recovery follow-up of the loan portfolio, and shares different back-office staff functions with the wider institution. Since 2022, BRD has embarked on the modernization of the MIS of the Fund to improve tracking and recovery. Further improvements to the MIS system are currently underway, which will allow the integration of loan origination and recovery data with external systems such as the National ID system, Rwanda Revenue Authority, Rwanda Social Security Board, the Credit Reference Bureau (CRB), Integrated Payroll and Personnel System (operated by the Ministry of Public Service and Labour), and other banking systems to better address the issue of loan recovery. The roll-out and implementation of the MIS has been challenging, particularly given the poor information basis of the legacy portfolio of loans granted prior to 2016. Consequently, BRD was only able to clearly assign loan recoveries to individual debtors in 2022. All debtors on record have now also been reported to CRB. BRD also continues to reconcile data transferred from HEC to BRD, particularly legacy data. Collectively these steps will allow BRD to have a complete database of all recoverable loans by Q1 2024.
- (d) **Sustainability.** Given that credit origination does not consider payment risks, and that loans granted do not require collaterals, the reporting of employment and income after conclusion of studies has historically been weak. The Fund thus currently faces significant challenges in relation to portfolio quality, which in the past has been exacerbated by a lack of adequate recording and reporting of outstanding operations. Available data for the legacy portfolio point to recovery rates of less than 25%. However, repayment performance is improving, on the strength of improved portfolio management in the context of the updated MIS. Nevertheless, performance data for the newer portfolio, originated since 2016, and reported in the updated MIS is not



available, as most of those transactions have not yet come due, given the length of study courses and the grace periods accorded. Yet, the historically low recovery performance of the Fund, coupled with a subsidized interest rate approach, does pose some sustainability risk, barring recurrent GoR funding. Planned improvement to the reporting and recovery system will therefore be important to boost sustainability moving forward. As of the end of 2022, the Fund reported a total registered portfolio of RWF 272.46 billion, equivalent to approximately US\$252 million, representing a reported 84,000 transactions. In addition, the Fund registered a 'contingent portfolio, comprising legacy loans of approximately RWF 57.24 billion, US\$53 million, representing some 65,000 transactions. The Student Loan portfolio represented the most important asset of the Fund, accounting for 91.58% of the Total Assets of RWF 297.68 billion at the end of 2022. During 2022, the Fund disbursed a total of RWF 43.06 billion in loans and reported recoveries of RWF 802 million. A further RWF 4.15 billion was recovered on account of the legacy portfolio, implying a recovery rate of 6.76% of the balance at the beginning of 2022. However, as noted earlier, no data is available regarding contractually expected payments (neither for the legacy portfolio nor the loans originated since 2016), which would allow for the determination of traditional portfolio performance ratios, such as Portfolio at Risk or Non-Performing Loans indicators. Moreover, the Fund does not establish any provisions for potential default on the portfolio, and while the policy documents allow for the options to write-off irrecoverable exposures, none has been reported or documented in the reviewed external audit reports.

16. **Implementation readiness.** Given preparatory work undertaken by the HEC and RISA, the proposed restructuring would allow for some US\$2.4 million to be disbursed against loan agreements due to be issued by the BRD to some 116 students selected (80 male, 36 female; 14 Phd; 152 Master; 50 Bachelor students), as part of a first tranche lined up under the new facility. HEC plans to launch a second call for loan applications in 6 months, allowing for BRD to disburse the remaining US\$1.1 million. Terms of reference for student support services has also been prepared by RISA and reviewed by the Bank. There is thus high implementation readiness for activities supported as part of this restructuring.

17. **SORT risks.** No change to SORT to risk rating is proposed.

III. SUMMARY OF CHANGES

	Changed	Not Changed
Reallocation between Disbursement Categories	✓	
Disbursements Arrangements	✓	
Legal Covenants	✓	
Institutional Arrangements	✓	
Financial Management	✓	
Other Change(s)	✓	
Implementing Agency		✓
DDO Status		✓
Project's Development Objectives		✓



Results Framework		✓
Components and Cost		✓
Loan Closing Date(s)		✓
Cancellations Proposed		✓
Disbursement Estimates		✓
Overall Risk Rating		✓
Procurement		✓
Implementation Schedule		✓
Economic and Financial Analysis		✓
Technical Analysis		✓
Social Analysis		✓
Environmental Analysis		✓

IV. DETAILED CHANGE(S)**REALLOCATION BETWEEN DISBURSEMENT CATEGORIES**

Current Allocation	Actuals + Committed	Proposed Allocation	Financing % (Type Total)	
			Current	Proposed
COFN-C2100-001 Currency: EUR				
iLap Category Sequence No: 1A	Current Expenditure Category: G,W,N/Cs,T,O,PBG: (a) Pts see more			
62,347,000.00	1,422,281.50	60,833,250.00	0.00	0.00
iLap Category Sequence No: 1B	Current Expenditure Category: G,W,N/Cs,T,O,PBG:(b) Pt4.2 see more			
368,000.00	0.00	368,000.00	0.00	0.00
iLap Category Sequence No: 2	Current Expenditure Category: G,N/Cs,Cp,O,T,FI Pts1.1b,3.1dii			
10,380,000.00	0.00	10,380,000.00	0.00	0.00



iLap Category Sequence No: 3	Current Expenditure Category: G,N/CS,T,O Pts2.1cii,iii,iv,v Proj			
9,818,000.00	0.00	9,818,000.00	0.00	0.00
iLap Category Sequence No: 4	Current Expenditure Category: UNALLOCATED			
3,587,000.00	0.00	3,587,000.00		0
iLap Category Sequence No: 5	Current Expenditure Category: Cp,O, Pts3.2c			
0.00	0.00	1,513,750.00		0
Total	86,500,000.00	1,422,281.50	86,500,000.00	
IDA-70000-001 Currency: EUR				
iLap Category Sequence No: 1A	Current Expenditure Category: G,W,N/Cs,T,O,PBG: (a) Pts see more			
62,347,000.00	1,787,445.74	60,833,250.00	0.00	0.00
iLap Category Sequence No: 1B	Current Expenditure Category: G,W,N/Cs,T,O,PBG:(b) Pt4.2 see more			
368,000.00	0.00	368,000.00	0.00	0.00
iLap Category Sequence No: 2	Current Expenditure Category: G,N/Cs,Cp,O,T,FI Pts1.1b,3.1dii			
10,380,000.00	0.00	10,380,000.00	0.00	0.00
iLap Category Sequence No: 3	Current Expenditure Category: G,N/CS,T,O Pts2.1cii,iii,iv,v Proj			
9,818,000.00	0.00	9,818,000.00	0.00	0.00
iLap Category Sequence No: 4	Current Expenditure Category: PPF REFINANCING			
3,587,000.00	267,271.68	3,587,000.00		0
iLap Category Sequence No: 5	Current Expenditure Category: Cp,O, Pts3.2c			



The World Bank

Digital Acceleration Project (P173373)

	0.00	0.00	1,513,750.00	0
Total	86,500,000.00	2,054,717.42	86,500,000.00	

LEGAL COVENANTS

Loan/Credit/TF	Description	Status	Action
IDA-70000	Section I.A.2.a of Schedule 2 of the financing agreement: The Recipient shall, no later than 30 days after Effective Date, establish within the Ministry of ICT and Innovation (MINICT) and thereafter maintain, a Project Steering Committee (PSC) with terms of reference, composition and resources acceptable to the Association.	Complied with	No Change
IDA-70000	Section I.A.2 of the Project agreement between IDA and RISA: The Project Implementing Entity shall, within one month of Effective Date, establish and maintain throughout Project implementation, a Single Project Implementing Unit (SPIU).	Expected soon	No Change
IDA-70000	Section IV. A. of the financing agreement: BRD shall improve their digital tracking system for Scholars, with respect to activities under Part 3.2(c) of the Project, in a manner satisfactory to the Association by March 31, 2024 (or later time as agreed with the Association).	Not yet due	New